

they failed to analyze and place a value on likely future growth or consider when and whether that growth might lead to enhanced profitability and cash flow.

In earlier eras, one's best guess of tomorrow's business performance was an extension of today's. But now, because of new technologies spurring astonishing growth in many industries and technological disruptions mortally wounding many incumbent businesses, tomorrow is much less likely to look like today than it was in Graham's time; for some businesses, it will look significantly better, and for many others, much worse. This is an inversion of a core tenet of Graham and Dodd, that one's best guess of tomorrow begins with what you see today or with what you saw recently. Value investors have had to become better business analysts than ever before.

Value investors cannot ignore the future. They must assign value to rapid and sustainable growth in cash flows, but with caution. Given all the challenges and nuances to ascertaining future cash flows, there is risk in paying for cash flows that are not demonstrated in current financial performance but rather lie far off in an imagined future. Graham and Dodd observed that "analysis is concerned primarily with values which are supported by the facts and not those which depend largely upon expectations." (Sixth Edition Introduction) Strongly preferring the actual to the potential, they regarded the "future as a hazard which his [the analyst's] conclusions must encounter rather than as the source of his vindication." (Sixth Edition Introduction) Investors should be especially vigilant to not focus on growth exclusively, as that would increase the risk of overpaying. Again, Graham and Dodd were spot on in warning that "carried to its logical extreme, . . . [there is no price] too high for a good stock, and that such an issue was equally 'safe' . . . after it had advanced to 200 as it had been at 25." (Chap. 1) This precise mistake was made when stock prices surged skyward during the Nifty Fifty era of the early 1970s, the